Rocket Lab | WATCH / DEFER

To: Buy-side investment committee | **From:** Peyton Dow | **Prepared:** October 19, 2026

Valuation/information cutoff: September 10, 2026, 4 PM ET. **Security:** RKLB common equity. **Currency:** nominal USD. **Horizon:** three to five years. The fund holds no existing position.

Committee ask

Do not initiate at the $61.96 cutoff price; retain on watch pending stronger underwriting evidence. The working standalone scenario envelope is approximately **$1-$7 per share**, conditional on the operating paths, funding, recovery and instrument assumptions below. This is neither a guaranteed floor nor a valuation of the combined pending transaction. No automatic buy price or position size is asserted; the committee must set its margin-of-safety and portfolio-risk constraints before initiation.

Scenario	USD/share	Economic condition
Downside: orderly exit in 2029	About 0.95-0.97	Specified recoveries, liability settlement and $100m closure cost; continuing downside otherwise requires $314.688m additional net funding in 2030. Not an appraised liquidation floor.
Base continuation	About 2.99	FY2030 revenue $2.387bn and EBIT $106.8m; first positive FCFF in 2034; mature EBIT margin 12% and marginal after-tax return 16%.
Upside continuation	About 6.73	Faster growth; mature EBIT margin 20% and marginal return 20%. Terminal value supplies 56.9% of operating EV.

Going-concern reference: 16% WACC, 3% perpetual growth, five-year linked statements followed by a 2031-2040 maturity transition. Growth requires reinvestment; terminal FCFF equals next-year NOPAT less growth investment. Existing awards fully vest/exercise and notes convert: 655.006167m participating shares. Base value does not economically support automatic note conversion. Retained-note illustrations are $2.57-$2.75; the intrinsic-only diagnostic is $2.98 and omits instrument time value. Downside's $0.95 allocation excludes uneconomic options and retains notes.

Why the price is not underwritten

Revenue growth consumes cash through development, capacity and working capital before it produces distributable cash. The base operating strategy has EV of -$105.930m: a net present cost of that specified strategy, not a negative stock price. Estimated cutoff cash of $2,043.230m plus $258.105m securities, less the $200m operating reserve and financial claims, supports positive equity value. These are modeled cutoff balances, not a reported September balance sheet.

At fixed 3% growth, 14%-20% WACC produces base values of $2.60-$3.36 and upside values of $5.05-$8.19. The rounded $1-$7 envelope is therefore a reference-scenario range, not a bound on every sensitivity. Neither the selected peers nor audited history establishes the assumed mature margins and capital returns.

One-way operating tests rank space growth, Neutron revenue, space margin and R&D in that order under standard shocks. Wider R&D and narrower revenue shocks put R&D first for 2030 EBIT, FCFF and value. Driver importance depends on the tested ranges; outputs/proforma-sensitivity.md documents units, bounds and causal links.

Cross-checks and disagreements

The reverse DCF reproduces $61.96 only at approximately 3.68% WACC for base or 5.04% for upside with operating paths and the bridge fixed, versus the 4.83% Treasury reference. These are mathematical diagnostics, not recommended risk-adjusted returns. Holding every explicit cash flow fixed instead requires 2041 FCFF about 96 times base or 28 times upside; the implied margins exceed 100% at the fixed sales paths. That discontinuous terminal jump is not an admissible forecast; a materially different, independently supported thesis is needed.

RDW/Avio EV/revenue implies about $4.18-$9.14/share; P/S implies $2.08-$7.62. EV uses a lease-consistent bridge; P/S is already equity value and uses a different, basic-equivalent denominator. Historical sales, acquisition scope, cash, profitability and reinvestment explain disagreement. Two heterogeneous peers do not establish a statistical fair-value interval. Do not average these indications. No transaction multiple is used without matched control, synergy and timing context.

Material limitations and decision triggers

Scope: pending Iridium operations, consideration and funding are excluded together. Optional forward/ATM financing, capped-call value and customer-loan recovery are separate sensitivities. Financing proceeds must be paired with ownership dilution. The standalone-to-market gap alone cannot prove that the complete company is mispriced. Exact cutoff capitalization and instrument fair values remain uncertain; the beta proxy is not independently replicated.

Reconsider initiation only after integrating the full transaction economics, substantiating operating/capital assumptions, verifying a funded adverse case and reconciling security claims. A revised supportable valuation must justify the purchase price under the committee's chosen margin of safety and risk limits.

Move toward do not initiate if execution misses persist or no credible funding preserves the $200m operating reserve. Review launch/space-systems deliveries, Neutron revenue recognition, R&D/SG&A intensity, capex and committed financing after each release. Later releases are monitoring events, not inputs to this September valuation. Lower mature margin to 8% yields $2.63 base / $4.67 upside; lower marginal return to 10% yields $2.80 / $6.07. Both weaken value while leaving watch/defer unchanged at $61.96.

Evidence, ownership and readiness

The 105-test development audit includes published Lab 5 known answers, statement/DCF/bridge controls, operating-driver rankings and live application checks; six saved reports reproduce exactly. The SEC-checked cancellation normalization does not create cash. Peyton adopted the AI-assisted recommendation rationale. The complete named disclosure and evidence register are in **Validation-and-AI-Use.pdf** / **docs/validation-and-ai-use.md**. The retained WACC rehearsal is AI-assisted; the independent locked exercise and recorded fresh-environment cold run are not complete. Those gaps must not be presented as fulfilled evidence.

Primary source trail: FY2025 Form 10-K, June 2026 Form 10-Q, August 13 capitalization prospectus, and September 10 historical close. Peer sources, assumptions and date definitions: data/peer_inputs.json and data/valuation_assumptions.json. Reproduction: README.md; outputs/equity-bridge.md, downside-exit.md, comparables.md and reverse-dcf.md.